SENTIENT ADVISORY

Tokenized Equity Long/Short Fundamental Relative Value

Analyst earnings-surprise driven · factor-hedged · Nickel DAL-compliant

Research backtest, single AI-bull regime. Illustrative — not out-of-sample validated. 2026-06-13.

STRATEGY THESIS

A market-neutral way to own the AI/tech compounders, inside a hard drawdown cap

- Universe: ~33 tokenized US-equity perps (AI / semis / mega-cap tech), on Binance and/or Hyperliquid.
- Edge: systematically own the companies that BEAT earnings (analyst EPS surprise / beat-and-raise),
- confirmed by price momentum — the quant version of how Tiger / Altimeter / Atreides pick longs.
- Hedge: QQQ + SOXL neutralize market AND the AI-compute factor; run a small +10–15% net-long tilt.
- Discipline our peers lack: a 20% NAV HARD drawdown cap (they ran –40% to –56% in 2022).
- Expected: ~20% NAV at Sharpe ~1.7 (robustness median); ~31% / 2.4 is the in-sample ceiling.
- Momentum is the steady core; analyst earnings-surprise adds alpha on average (regime-dependent).

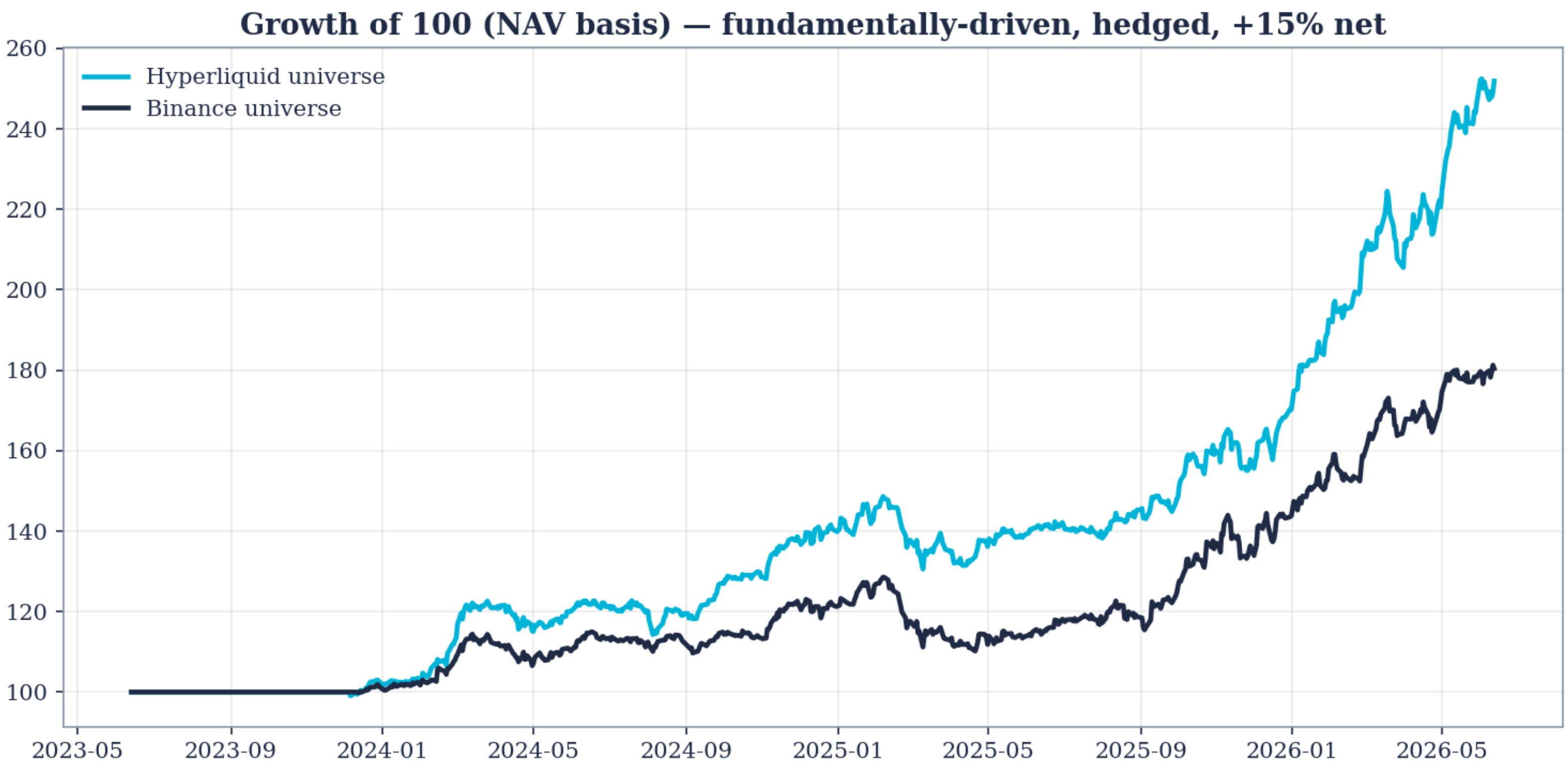
MECHANICS

How the EPS-surprise-driven blend works, operationally

Score each name: 1.0 × z(EPS surprise) + 0.5 × z(price momentum) → long the top 8

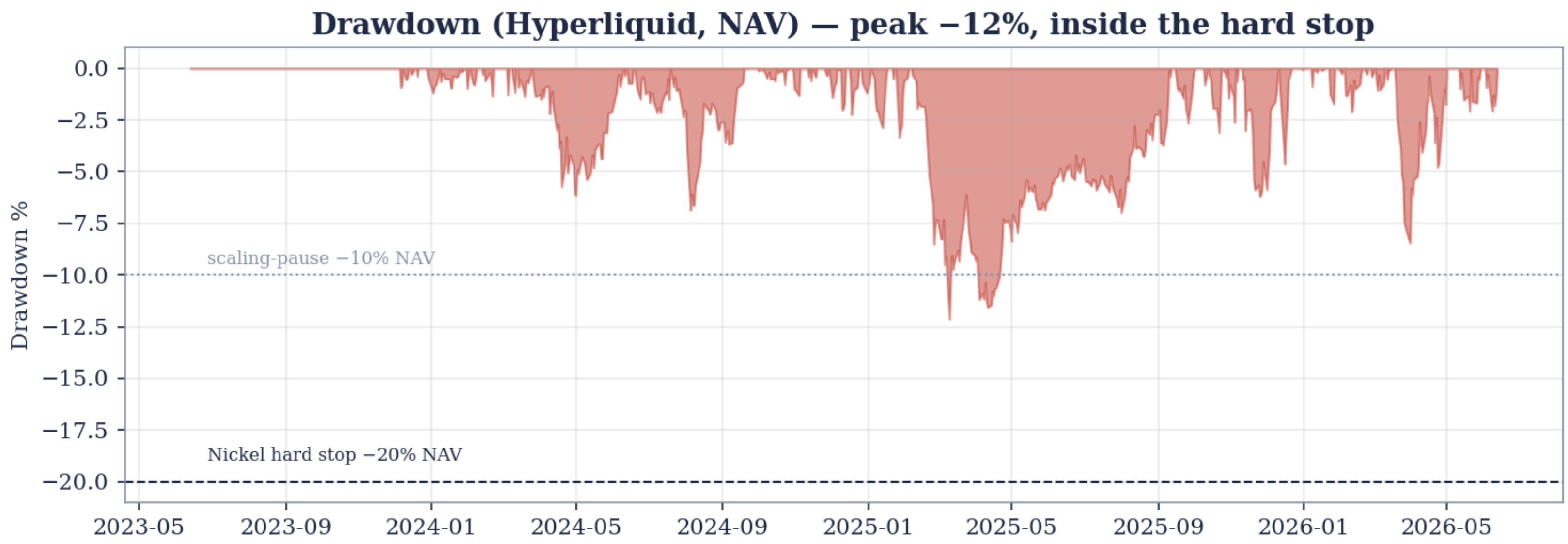
- EPS surprise = actual vs analyst-consensus EPS at each quarterly report (post-earnings drift).
- It is NEW information at each report → complementary to momentum, so it ADDS (not redundant).
- Monthly rebalance: re-score, pick top-8 longs, solve QQQ+SOXL hedge, layer +15% net, vol-target 6%.
- Earnings is the active trigger: rotate INTO fresh beaters, OUT of misses; trim into earnings windows.
- Execution: maker TWAP, ~1.1x annual turnover, ~8–15 bps round-trip.
- Coverage gap: analyst surprise free on 23/33 names today (NVDA rides momentum until FMP, $59/mo).

Smooth compounding within the drawdown budget



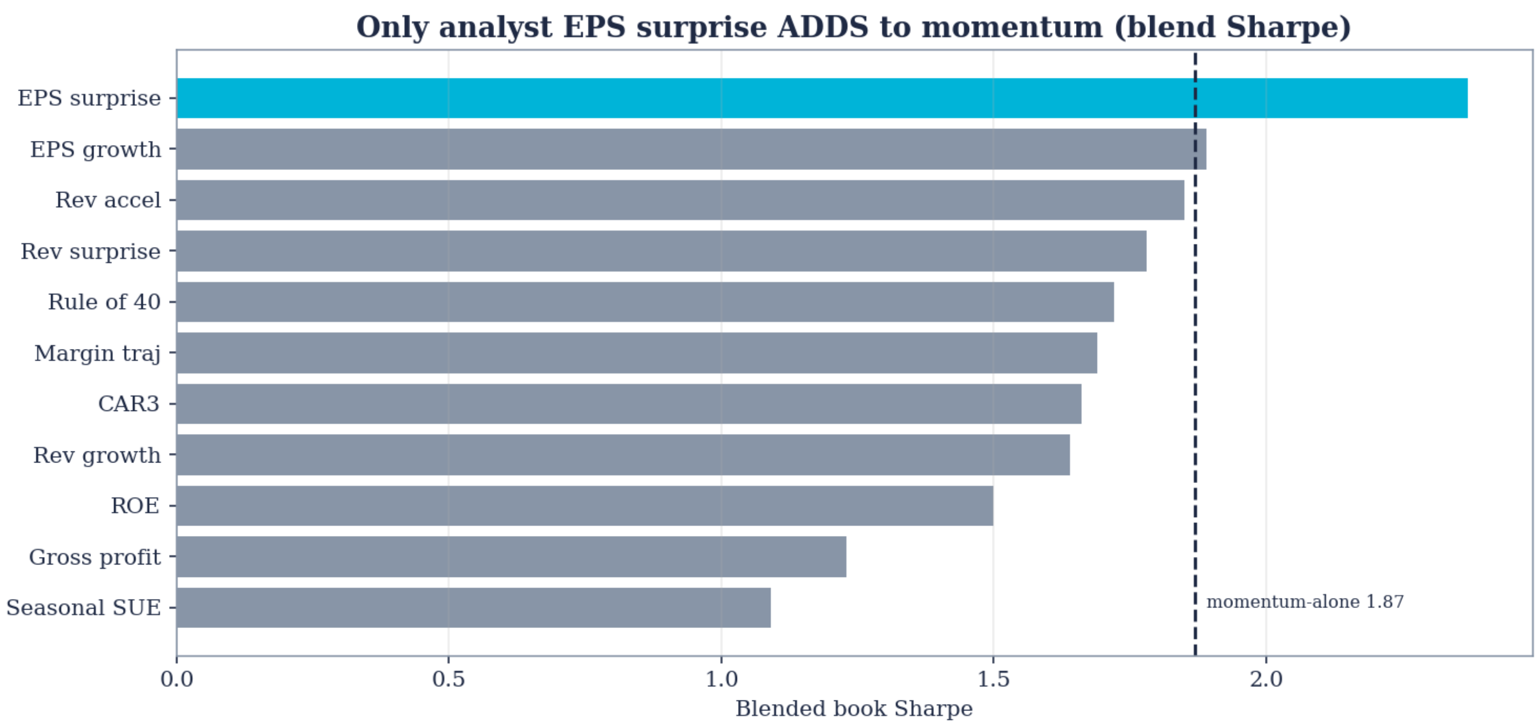
Source: Sentient Equity-RV backtest, ~3y, maker cost. One AI-bull regime — illustrative, not OOS-validated.

Drawdown stays well inside Nickel's 20% NAV hard stop



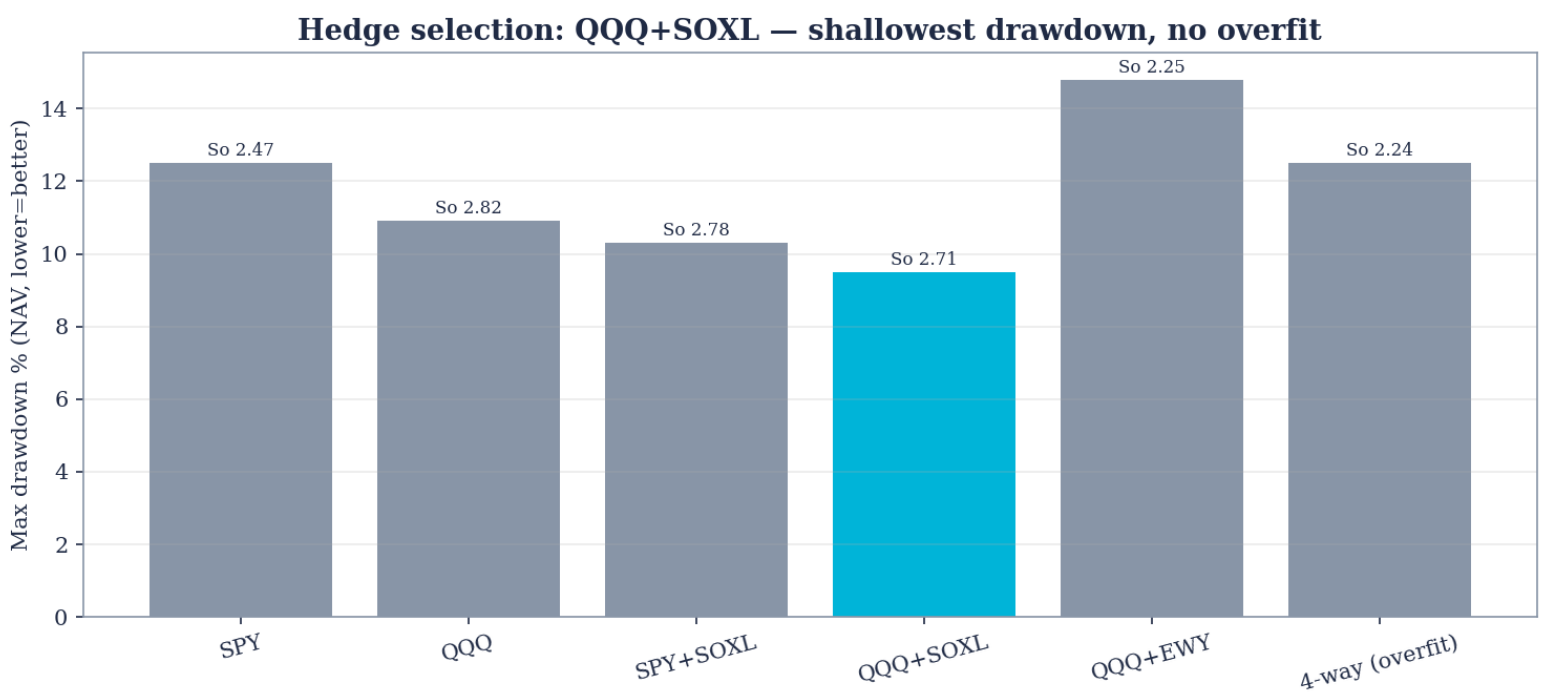
SIGNAL SELECTION

The edge is one factor — analyst EPS surprise — not a kitchen sink



Source: single-factor evaluation, Hyperliquid, QQQ+SOXL hedge, +15% net. Every factor except EPS surprise dilutes the blend.

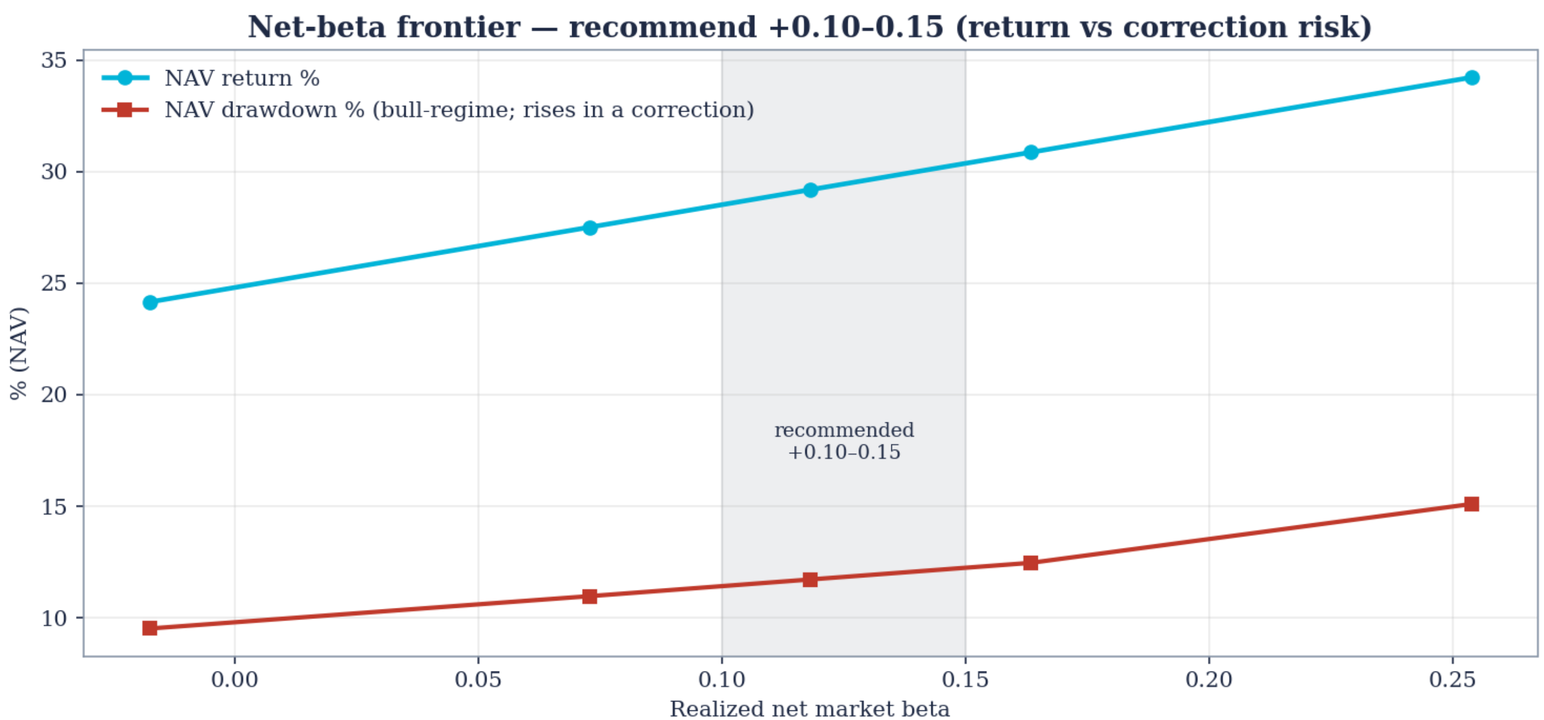
QQQ + SOXL: hedge the market AND the AI-compute factor



Source: hedge-basket sweep, Hyperliquid. EWY (Korea) hurts; 3-4 leg baskets overfit. So = Sortino.

NET-BETA POLICY

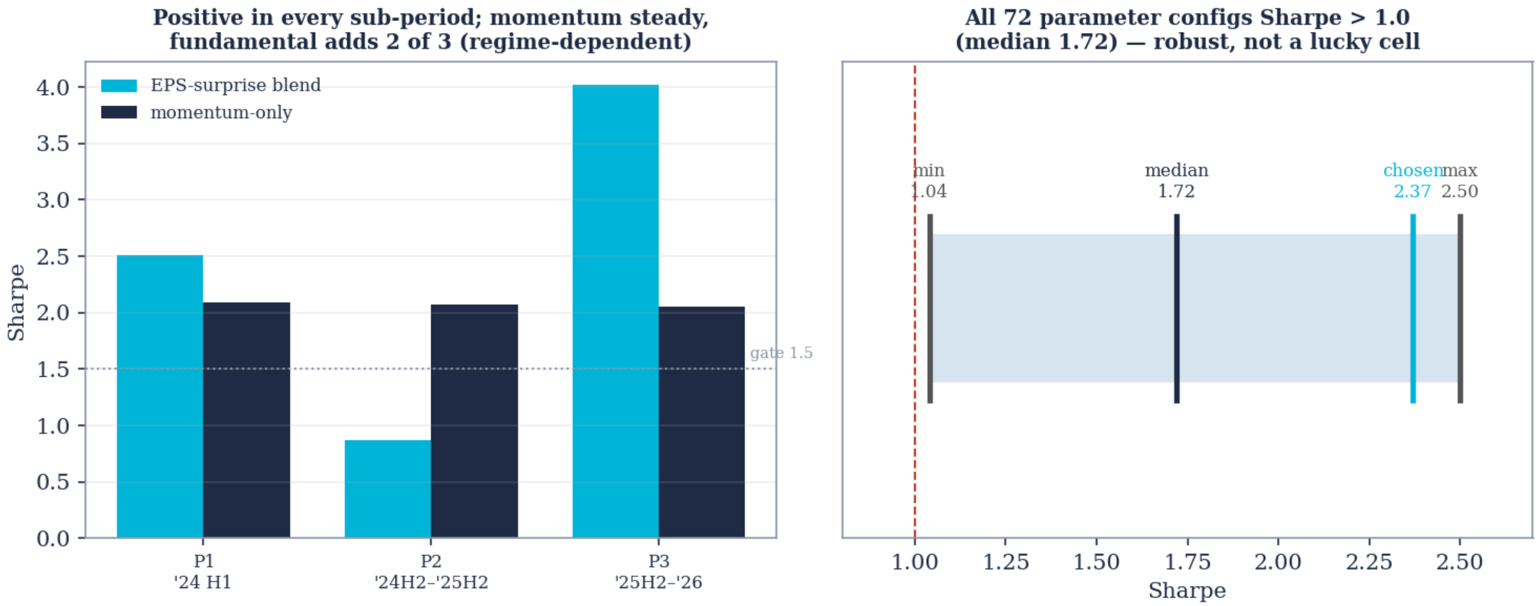
Run +0.10–0.15 net beta: return without over-exposing the correction



Source: live net-beta sweep, Hyperliquid. Flat DD is a bull-regime artifact; in a correction beta is pure downside.

ROBUSTNESS GATE

The edge survives out-of-regime — and isn't a lucky parameter cell



Source: robustness.py — sub-period + 72-config sweep. Rolling 6-mo Sharpe positive in 92% of windows. EXPECTED ~1.7 (median); 2.37 is the tuned ceiling.

Honest read: momentum is the steady driver; earnings-surprise is a regime-dependent enhancer. Expect ~1.7 Sharpe, not the 2.37 ceiling.

Both venues clear Nickel's scaling gate

Metric (NAV basis)	Hyperliquid	Binance	Nickel gate
Annualized return	+31%	+21%	—
Max drawdown	-12%	-15%	> –20% (hard)
Sharpe	2.37	1.59	—
Sortino	3.86	2.46	—
Rolling 4-wk Sortino	2.93	1.77	> 1.5 to scale
Net beta	+0.16	+0.15	≤ +0.30 notional

PEER POSITIONING

We deliberately give up beta — and the drawdown that comes with it

Fund	2024/2025	Net exposure	Est. alpha	2022 DD
Light Street	+59% / +37%	net long	~upper single	–54%
Whale Rock	+51% / +27%	net long	~mid single	–43%
SAA (Aschenbrenner)	+47% H1'25	strongly net long	mid single + RV	none yet
Tiger Global	+24%	high net long	~4–6%	–56%
Coatue	+19%	actively hedged	~5–8%	–19%
Viking (most hedged)	+8.6%	~40% net	single digit	best-defended
THIS strategy	~+21–31%*	~+12% net beta	the alpha + bounded β	–12 to –15% (capped)

*Cohort beta ~0.99 to S&P, ~4.2% alpha: 80–90% of peer headline is net-long BETA. *Our return is mostly hedged alpha + a small tilt.*

Honest caveats and the path to live

- ONE regime: a 3-yr AI bull. Momentum/net-long flatter the result; a correction is the untested case.
- Best-config-on-one-sample → Sharpe is optimistic OOS. Sub-period robustness is the gating next step.
- Signal coverage 23/33 names → buy FMP Premium ($59/mo) to extend EPS surprise to all names (incl NVDA).
- Capacity ~$3–5M on Binance; Hyperliquid adds breadth (EMCD BVI fund route).
- Roadmap: robustness test → FMP coverage → paper/shadow live → production PMS + Render service.